

Decision-making guide

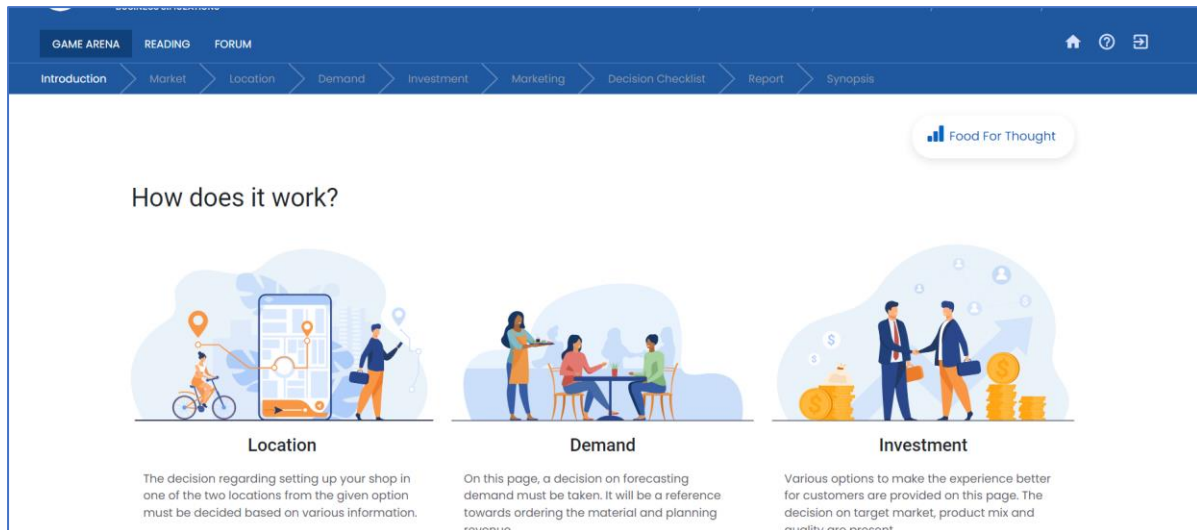
Business Basics

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1. Simulation platform introduction

1.1 Game Arena

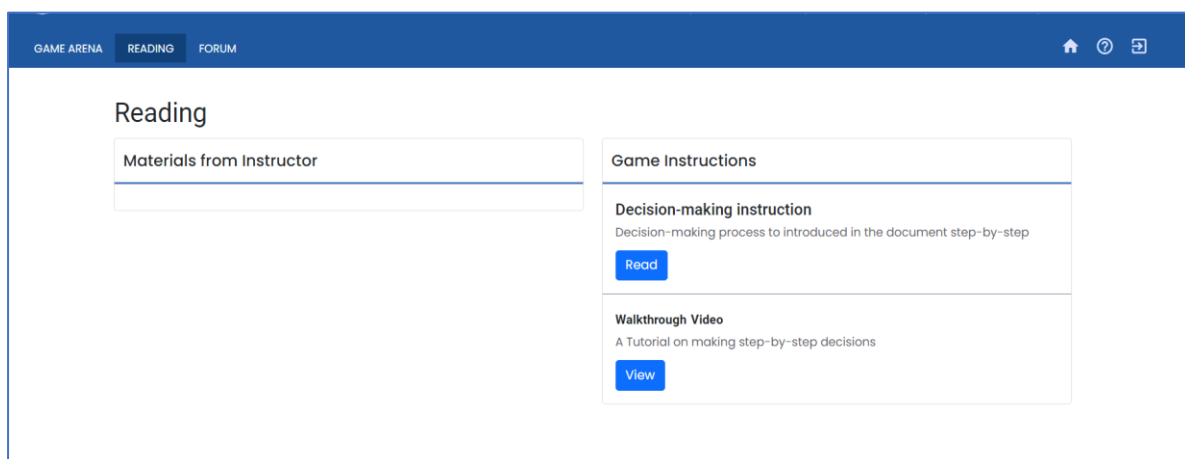


The gaming arena interface comprises various decision tabs, each categorized into market, location, demand, investment, marketing, Decision Checklist, Report, and Synopsis. Some sections must be completed first as they have an impact on other areas.

There are two primary types of input fields:

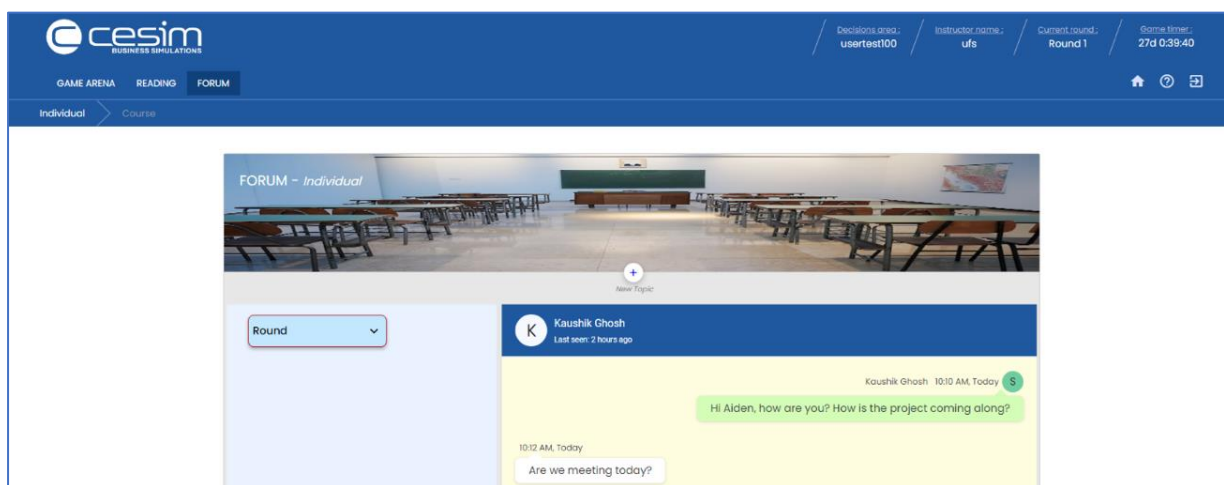
1. Decision cells: These can manifest as light blue input cells, checkboxes, or radio buttons.
2. Estimation cells: The demand forecast allows you to input estimations that serve as the foundation for the system's cost budgeting.

1.2 Readings



This section offers crucial materials that participants need to go through for active participation in the game. The primary reading material includes a decision-making guide. Instructors can choose to enhance these resources with additional materials. Additionally, there is a walkthrough video available, providing comprehensive details about the business scenario covered in the course. This video offers insights into the company, its industry, current trends, challenges, and the various decisions that need to be made.

1.3 Forum



- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

1.4 Main Objective & Winning Criteria

The simulation aims to operate and comprehend the intricacies of small local businesses, guiding participants in making decisions in crucial areas based on fundamental principles for long-term sustainability. It further seeks to foster an understanding of the relationships between different decision-making domains and their impact on the financial aspects of the company. The success measure in the simulation is determined by the level of profitability achieved by the business and the realized profit margin.

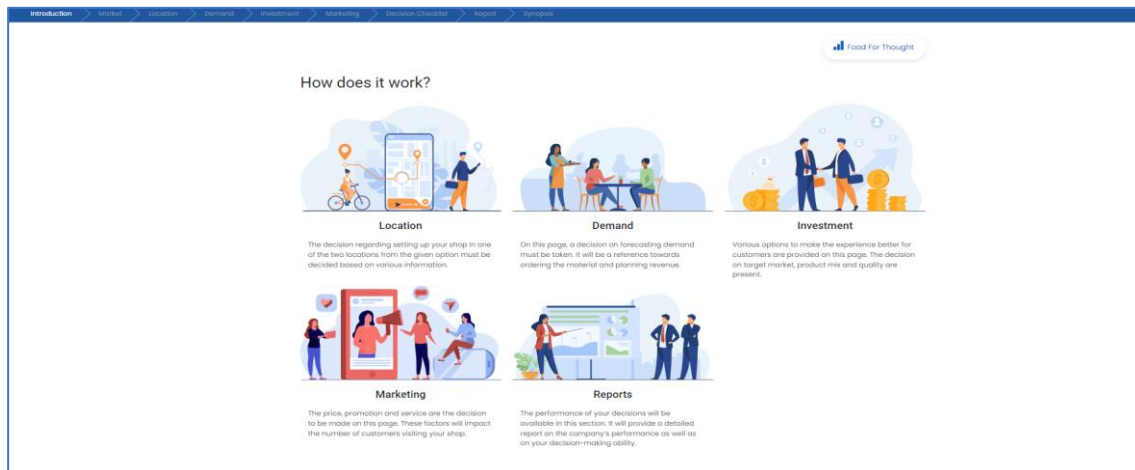
1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:



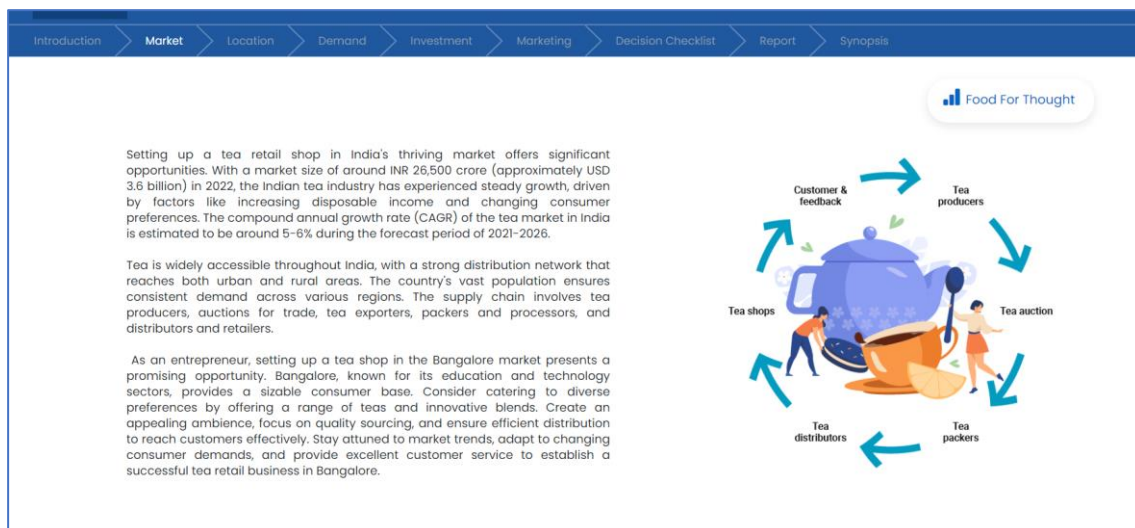
2. Decisions under Game Arena

2.1 Introduction



This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

2.2 Market



Before initiating your decision-making process, it is crucial to thoroughly review the "Market" section. This segment provides critical insights into the market developments and case scenarios.

2.3 Location

- **Location Decisions:** This involves choosing the most suitable location for establishing the business. Two location options are available, each with unique benefits based on factors like the target audience, potential foot traffic, competition, consumer spending, rental requirements, and other relevant parameters. Through a thorough SWOT (Strengths Weaknesses Opportunities Threats) analysis of both options, participants can identify the optimal choice.

Location

Select one of the locations:



Jayanagar - Bengaluru University

Target Audience:	College Students & Faculties
Footfall Potential:	High
Competition:	Premium and standard tea and cafes
Consumer Spending:	Limited, price sensitivity is higher
Operating hours:	Extended hours due to students schedule
Menu offering:	Quick bites, affordable options, unique and trendy tea
Marketing:	Student partnerships & events
Space Requirements:	Seating/standing for groups, student friendly ambience
Seasonal Variation:	Reduced footfall during college holidays
Rental per month (includes licence fees), INR	80000



Whitefield - ITPL Corporate Park

Corporate Employees	
Moderate to High	
Premium tea and cafes	
Higher, potential for premium offerings	
Standard office hours, potential rush on breacktime	
Grab and go, healthy alternatives and premium teas	
Student partnerships & events	
Space for meetings and comfortable seating for professionals	
Fluctuation based on corporate events & holidays	
120000	

- **Licensing & Regulation:** This requires making decisions about the necessary licenses and adhering to regulations for operating the business in any location. These measures ensure alignment with health, safety, and quality standards set by authorities, granting legal authorization and fostering consumer trust in the delivery of safe and authentic products. This process includes obtaining permits and business operating licenses. After assessing both available options, participants can choose the most suitable one in this category as per business requirements.

Licensing & Regulation

Licensing and regulation are vital for operating a tea retail store in any location to ensure adherence to health, safety, and quality standards set by authorities. They provide legal authorization and foster trust among consumers, ensuring they receive safe, authentic products. Obtaining permits will involve food and beverage licenses, and business operating licenses.

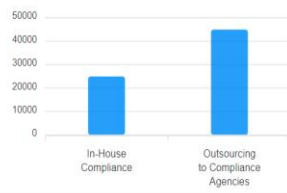
In-House Compliance

The company will hire one resource who will have complete oversight over the store's compliance needs. The resource will provide customized solutions as per the business needs. The one drawback would be without expert insights there may be blind spots which will cause delays in operations. [Hide all](#)

Outsourcing to Compliance Agencies

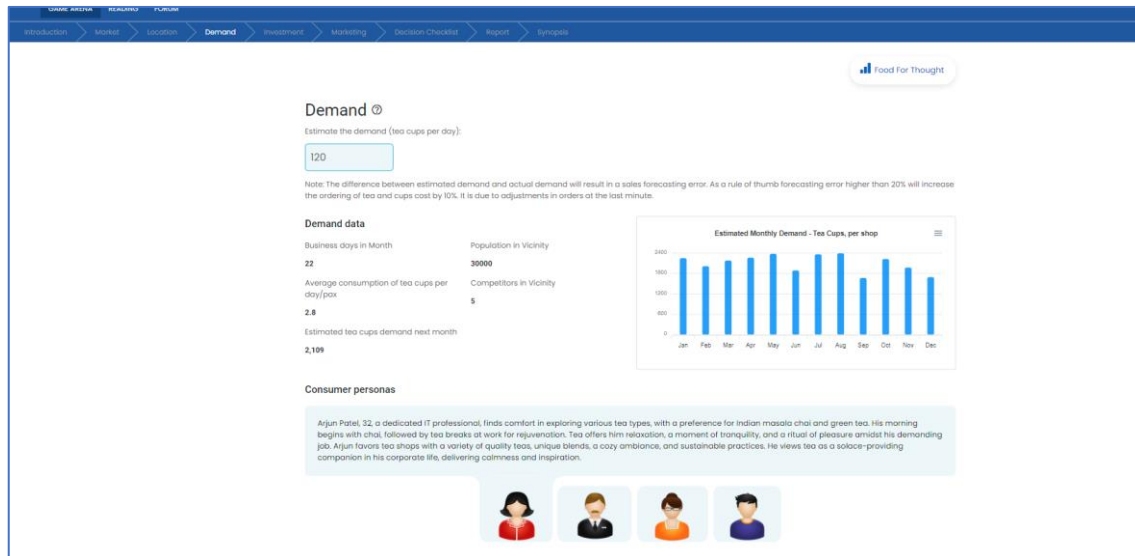
The outsourcing agency is ISBI Bank, these professionals are trained to stay up to date on changing regulations. There is the possibility of a quicker turnaround on getting compliant due to their experience. The drawback is they are expensive and relying on a third party for compliance might not always align with the company's business objective. [Hide all](#)

Licensing & Regulation Monthly Cost, INR



Option	Monthly Cost (INR)
In-House Compliance	20,000
Outsourcing to Compliance Agencies	40,000

2.4 Demand



On this page, a decision on forecasting demand must be taken. It will be a reference towards ordering the material, budgeting, and planning revenue. The demand data provided will aid in the decision-making process. Business days in Month, Population in Vicinity, Consumer personas etc.

Sales forecasting Error: The difference between estimated and actual demand will result in a sales forecasting error. As a rule of thumb forecasting error higher than 20% will increase the ordering of tea and cups cost by 10%. It is due to adjustments in orders at the last minute.

2.5 Investment

This section involves decisions related to design, product mix, and vendor selection. The costs for interior and equipment investments will be directly paid as a one-time cash payment, while for accounting purposes, they will depreciate over 30 months.

Interior: The decision of the interior will depend on the cost while looking at the target audience and the objective of the company.

Product mix equipment: The decisions to launch single and multiple products will depend on the cost, maintenance, target consumer and objective.

Vendors: The decision to select the vendor is a trade-off between quality and cost depending on the target consumers.

Investments



Interior ⓘ

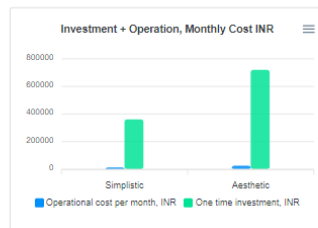


Product Mix Equipment ⓘ



Vendor Tea and cups ⓘ

Note: The interior and equipment investment costs will directly be paid out in cash as a one-time payment while they will depreciate within 30 months for accounting purposes.

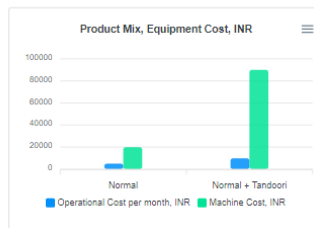


○ Simplistic

A lower initial investment and minimalistic design will create a cozy ambience. It lacks the wow fac... [Show More](#)

⊗ Aesthetic

A higher initial investment with high maintenance and upkeep cost. The visually appealing and luxuri... [Show More](#)

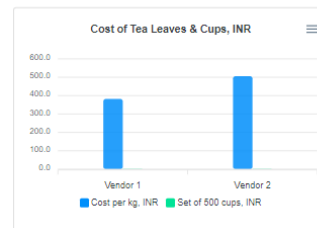


○ Normal

A machine typically takes around 2 minutes to brew a standard cup of tea (240 ml). The machine has f... [Show More](#)

⊗ Normal + Tandoori

A machine typically takes around 3 minutes to brew a standard cup of tea (240 ml). The machine has f... [Show More](#)



⊗ Vendor 1

Siliguri vendor specializes in selling premium tea with acquired tastes popular in eastern and north... [Show More](#)

○ Vendor 2

Ooty vendor offers premium tea with acquired tastes for Southern India and the Middle East. They pro... [Show More](#)

Technology ⓘ



Point of Sale

It will help to manage inventory efficiently thereby reducing the cost of storage, sales opportunity loss and forced discounts.



Security

It will deter potential criminals, provide a safe environment for employees & customers, operational insights, and asset protection.



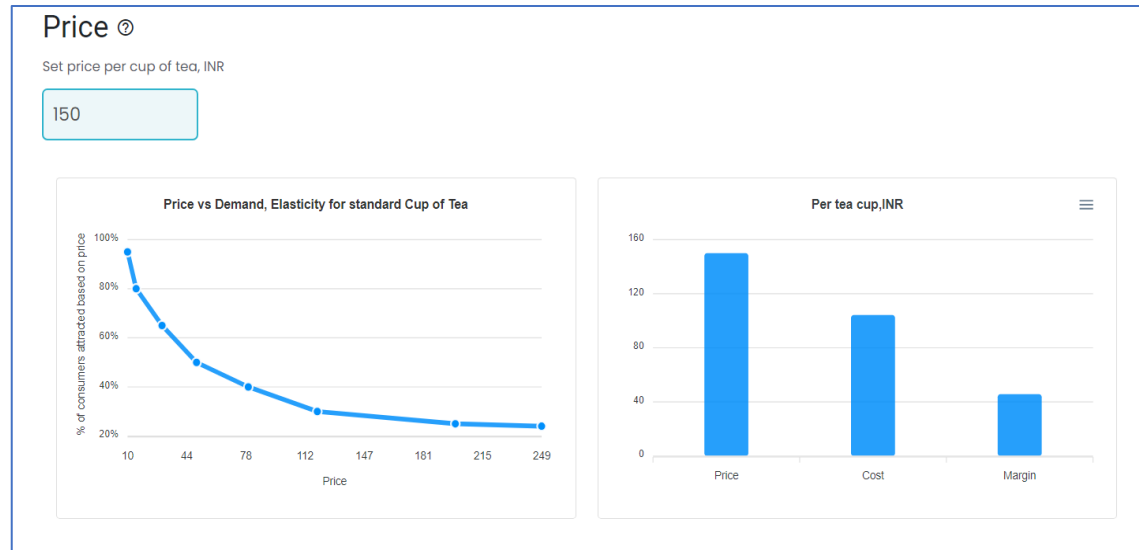
Music & Wifi

It enhances the ambience, encouraging customers to linger and relax, while also catering to the digital age's connectivity needs, potentially increasing sales and repeat visits.

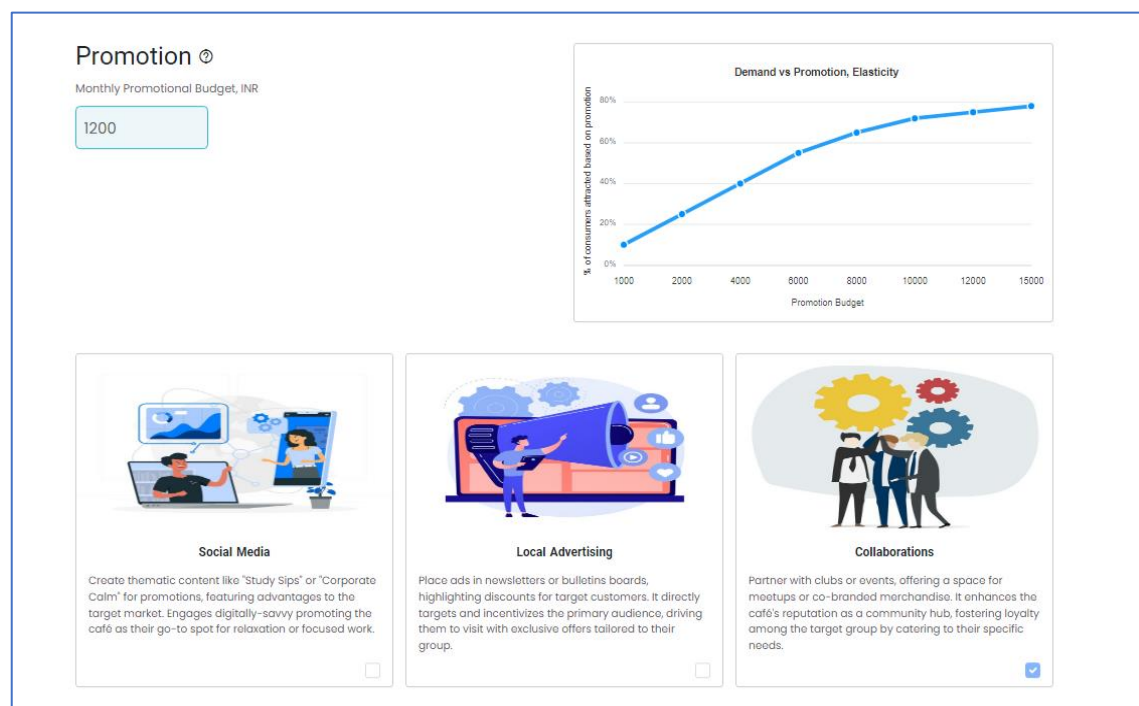


Participants need to decide whether to integrate technology to enhance the efficiency of business operations.

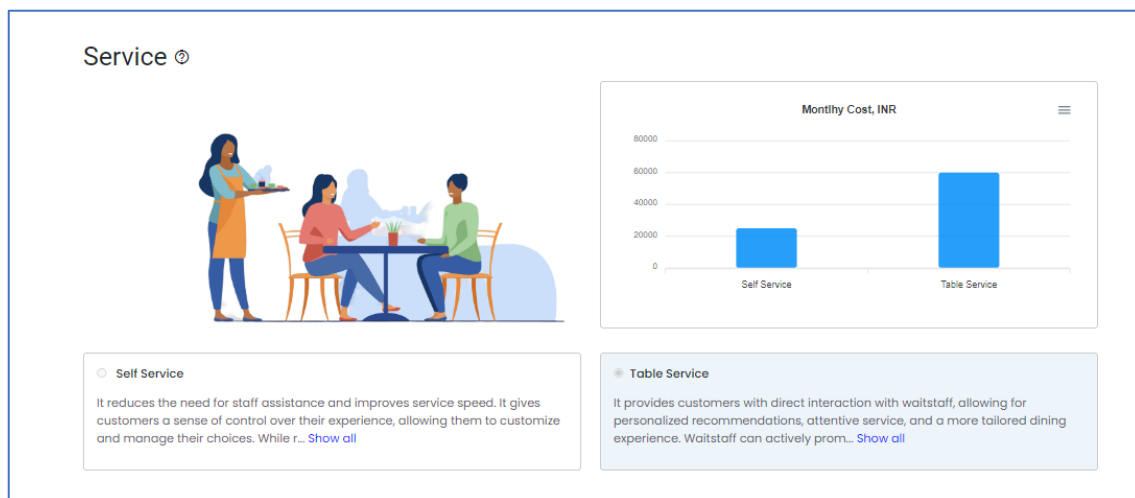
2.6 Marketing



Here, by analysing the Price vs. demand elasticity graph, the participant has to determine the price per cup of tea. The 2nd graph from the left keeps changing based on the factors decided in the simulation providing an idea of the margin.



The promotion aspect requires determining the monthly budget allocated for promotional activities. It is essential to analyse the Demand vs. Promotion elasticity graph to make informed decisions about promotions. Three promotional activities are available, each offering unique advantages as a campaign within the promotion budget. The promotional budget gets equally divided between the campaigns. Participants have the flexibility to select the most suitable promotional activity that effectively attracts the target audience.



Participants need to decide regarding the kind of service offered to customers. This choice should be grounded in a thorough evaluation of the advantages and disadvantages of various service options, considering the associated costs for each service. Insights from the monthly cost graph further play a role in making well-informed decisions.

2.7 Decision checklist

The Decision Checklist compiles all decisions made in each round of the game. This feature assists participants in reviewing their overall decisions under each tab, allowing them to make any necessary adjustments before the deadline. After completing the decision-making process, if participants choose to proceed with the Decision Checklist, they can submit their responses using the Submit option.

Decision Checklist

Round 1

usertest100

Location	
Location	Whitefield - ITPL Corporate Park
Licensing & Regulation	Outsourcing to Compliance Agencies
Demand	
Demand Tea Cups per day	120
Investment	
Interior	Aesthetic
Product Mix	Normal + Tandoori
Procurement Vendor	Vendor 1
Point of Sale	Implemented
Security	Not Implemented
Music & Wifi	Implemented
Marketing	
Price per cup of tea, INR	150
Monthly Promotion Budget, INR	1200
Social Media Campaign	Not Launched
Local Advertising Campaign	Not Launched
Collaboration Campaign	Launched
Service	Table Service

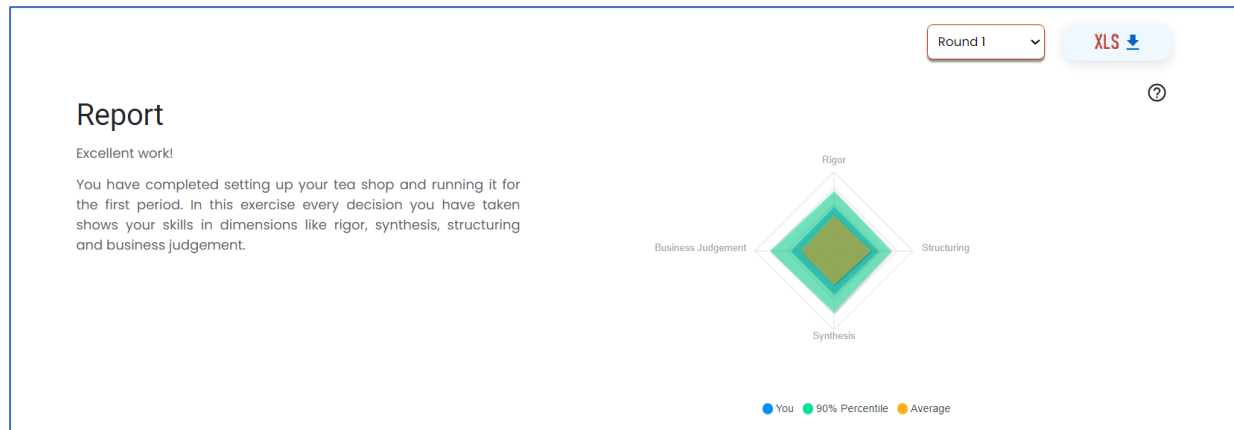
Submit

2.8 Report

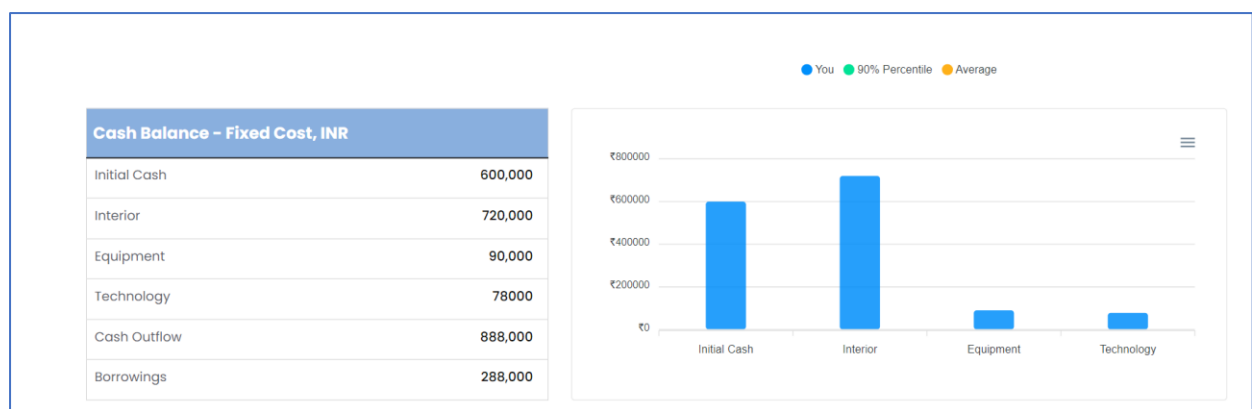
The report section consists of detailed information on how well the participant took the overall decision in setting up the business.

This section consists of feedback on the performance of the participant based on four metrics.

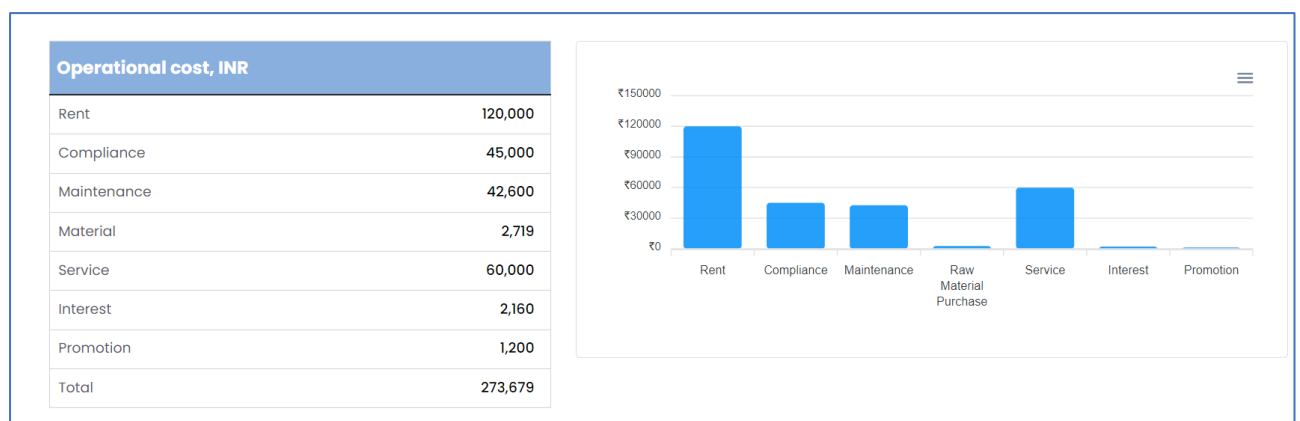
- **Rigour:** Consistency throughout the decision-making and recommendation.
- **Structuring:** Logical approach of gathering and analysing information
- **Synthesis:** Approach towards interpreting information and making informed decisions
- **Business Judgement:** Ability to evaluate facts, and consider risks and possible implications when making decisions.



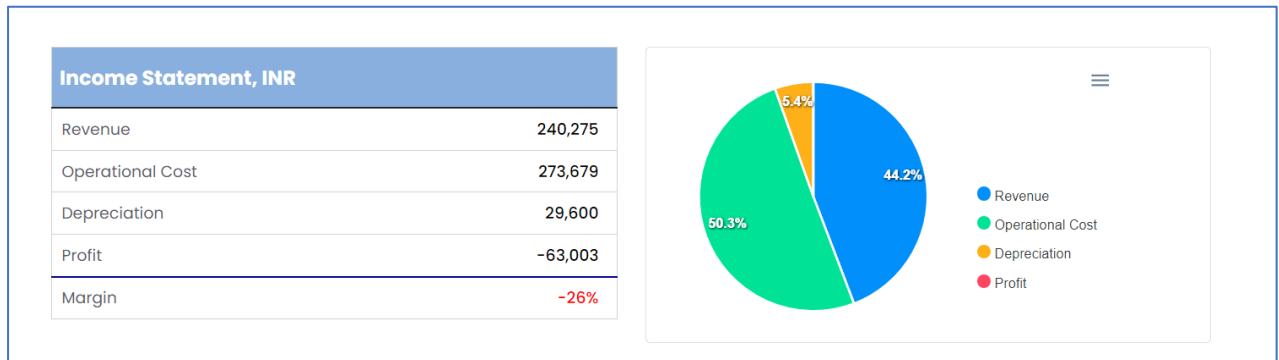
Cash Balance: This section includes a table and graph illustrating the diverse elements of fixed costs linked to establishing the business.



Operational Cost: This section includes a table and graph illustrating the total operational cost of the business.



Income Statement: This section includes a table and graph illustrating the income statement linked to establishing the business.



2.9 Synopsis

The synopsis section offers a summary of the overall decisions, accompanied by the report section, which incorporates Key Performance Indicators (KPIs).

